

Monetary Policy Statement

July - December 2017

Bangladesh Bank

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UNITY, a sculpture by Hamiduzzaman Khan
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Monetary Policy Department and Chief Economist's Unit

Bangladesh Bank

www.bb.org.bd

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Highlights

- Available data (up to May '17) indicate key monetary aggregates moving largely within growth ceilings programmed in BB's FY17 (July '16-June '17) monetary program, with May 2017 broad money (M2), domestic credit, and credit to private sector growing by 11.7, 11.3, and 16.0 percent against their FY17 ceilings respectively of 15.5, 16.4, and 16.5 percent. Surge in net sale of National Savings Certificates (NSCs) drove public sector bank borrowing to negative (-16.2 percent by May '17) causing domestic credit to remain well below its FY17 program ceiling. GDP growth outperformed at 7.24 percent and average inflation edged down to 5.44 percent, below the FY17 ceiling of 5.8 percent.
- Looking ahead, output growth momentum remains robust, but low FY17 export growth (1.7 percent) and workers' remittance inflow downturn (-14.5 percent) pose risks to external and domestic demand-led growth outlook for FY18. Also, food price uptrend caused by the Q4 FY17 flash flood in the haor regions pose some risk for inflation outlook. Some mitigation of the domestic inflation risks can be expected from subdued global inflation upheld by the onset of monetary tightening in the US and the EU, coupled with low inflation prevailing in neighboring India. BB's FY18 monetary program seeks to set a prudent, flexible course towards containing 12-month average CPI inflation within targeted 5.5 percent ceiling while also supporting attainment of the 7.4 percent real GDP growth targeted by the government. Deferral of new VAT law implementation is unlikely to pose any major concern for FY18 monetary policies if the strong FY17 revenue growth momentum (19 percent, well above the nominal GDP growth rate) continues, with the government already announcing intent of an early revision of expenditure allocations in FY18 budget.
- Accordingly, BB's FY18 monetary program sets Domestic Credit (DC) growth ceiling at 15.8 percent, a level consistent with the growth and inflation objectives, accommodating ample (16.3 percent) growth of credit to private sector and a lower (12.1 percent) growth for credit to public sector because of the latter's large access to non-bank (NSCs) borrowing. The FY18 monetary program sets 13.9 percent growth ceiling for M2, and a 12.0 percent annual average growth ceiling for Reserve Money (RM). An annual average rather than point-to-point target for RM is being adopted for the first time, for better adherence to the chosen monetary stance. With external sector (export and remittance) slowdown limiting monetary expansion through a lower (5.5 percent) NFA growth projection, Reverse Repo, Repo policy interest rates will be kept unchanged for the time being, but BB will remain in readiness for policy rate adjustment if and when needed.
- In support of the government's inclusive and environmentally sustainable output and employment growth objectives, monetary policies in H1 FY18 will continue policy supports for financing of farm/non-farm MSME output initiatives, with realigned greater emphasis on the employment-focused manufacturing and service sub-sectors, and for 'green' projects of adopting environmentally benign output practices. Other recent BB initiatives include FDI facilitation through dedicated help-desks/support units in banks.
- Multifaceted efforts underway for gradual transition of BB's current monetary targeting-based policy framework towards a financial price targeting-based one will continue in FY18, prioritizing buildup of stronger forecasting capabilities in BB and removing impediments to market-based financial pricing, including high NPLs from lax lending discipline, and non-market pricing of government's non-bank NSCs borrowings.

Monetary Policy Statement

The First Half of the Fiscal Year 2018: July-December 2017

The Monetary Policy Statement (MPS) reports Bangladesh Bank's (BB) monetary policy outcome for the fiscal year 2017 (FY17) and the monetary policy stance for FY18. As in the past, the FY18 monetary program and the monetary stance for H1 FY18 have been formulated taking into account actual outcome for FY17, internal and external developments, and feedback from a stakeholder consultation with economists, policymakers, the representatives from major think tanks, academia, the financial and other sectors.

Monetary Policy Performance in FY17

Data available through May 2017 indicate that key monetary policy targets and objectives for FY17 were largely achieved. Broad money (M2) growth, at 11.7 percent in May 2017, remained well below the target ceiling of 15.5 percent and is expected to be so for FY17. Private sector credit grew robustly and, at 16.0 percent in May 2017, is expected to meet the end-June 2017 ceiling of 16.5 percent. However, government net borrowing from the banking system declined throughout the fiscal year, because of the larger-than-planned sales of National Saving Certificates (NSCs). Other public sector borrowings from the banking system were also minimal. Consequently, overall domestic credit growth moderated to 11.3 percent in May 2017, remaining well below the FY17 targeted ceiling of 16.4 percent.

Strong domestic demand, supported by private sector credit growth and pickup in public investment, helped the economy attain 7.24 percent real GDP growth in FY17 while annual average CPI inflation declined to 5.44 percent in June 2017, well below the 5.8 percent target ceiling for FY17. The favorable inflation performance benefitted from both declining food and non-food inflation, the latter being the component more directly influenced by monetary policy actions. Moderate growth in broad money and overall domestic credit helped the attainment of the benign inflation outcome.

Monetary Policy Stance for H1 FY18

BB's monetary policy prioritizes price stability, while supporting growth and employment generation. Like other central banks, BB adopts policies to facilitate short- and medium-term macroeconomic management, with monetary and financial policies promoting socially responsible financing, facilitating attainment of the government's near- and longer-term inclusive, environmentally sustainable growth objectives.

The monetary program for H1 FY18 factors in the recent domestic and external economic and financial sector developments. By balancing the output and inflation risks for the economy over the next one year, the program will target a monetary growth path aimed at keeping average inflation around 5.5 percent. The monetary program framework for FY18 is based on the ceilings for domestic credit (DC), broad money (M2), and annual average reserve money (RM) growth of 15.8, 13.9, and 12.0 percent, respectively. The stipulated DC and M2 growth ceilings for FY18 will provide sufficient monetary accommodation for attainment of government's FY18 GDP growth target. Lion's share of this domestic credit growth has been allocated towards 16.3 percent growth in credit to the private sector, alongside a smaller 12.1 percent growth in bank credit to the public sector, in view of the latter's ample access to non-bank borrowing through NSCs.

The sections below lay out the global and domestic macroeconomic context and the BB's policy stance for H1 FY18.

Global Growth and Inflation Outlook

Global economic activity has gathered pace with support from a cyclical recovery in investment, manufacturing, and trade. According to the International Monetary Fund, global output growth is expected to rise to 3.5 percent in 2017

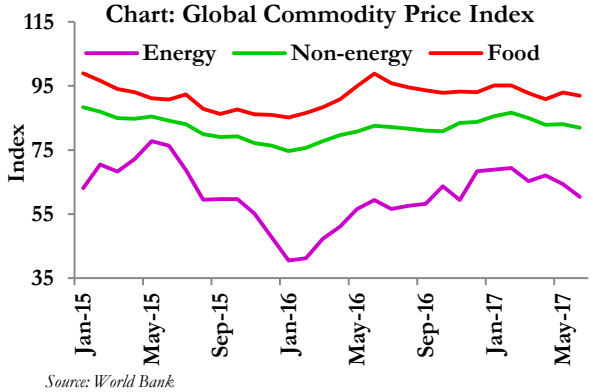
Table: Overview of the World Economic Outlook

GDP at constant prices	Percentage Change				Difference from January 2017 WEO Projection	
	Actual		Projection			
	2015	2016	2017	2018	2017	2018
World	**3.4**	**3.1**	**3.5**	**3.6**	**0.1**	**0.0**
Advanced Economies	2.1	1.7	2.0	2.0	0.1	0.0
USA	2.6	1.6	2.3	2.5	0.0	0.0
Euro Area	2.0	1.7	1.7	1.6	0.1	0.0
Other Advanced Economies	1.9	2.2	2.3	2.4	0.1	0.0
Emerging Market and Developing Economies	4.2	4.1	4.5	4.8	0.0	0.0
China	6.9	6.7	6.6	6.2	0.1	0.2
India	7.9	6.8	7.2	7.7	0.0	0.0

Source:World Economic Outlook Update (April, 2017), International Monetary Fund

and 3.6 percent in 2018. The aggregate growth figure masks significant cross-country and regional variations. Growth in the advanced economies is expected to increase from 1.7 percent in 2016 to 2.0 percent both in 2017 and 2018. Overall growth outlooks for emerging market and developing economies and in India are gaining momentum both in 2017 and 2018. Although geopolitical risks remain elevated in the Middle East region hosting the bulk of our migrant workers, overall growth is expected to increase due to some improvement in oil prices in 2016. Forecast for China's growth, though gradually moderating, has been revised up by 0.1 percentage point and 0.2 percentage points in 2017 and 2018.

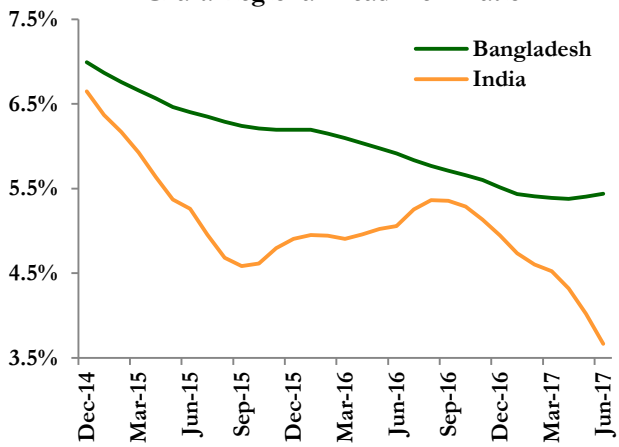
Chart: Global Commodity Price Index



Source: World Bank

Despite earlier forecasts by WB and some others about substantial uptrend in global commodity prices for 2017 and 2018, the relevant price indices have turned downward or stagnated since the beginning of 2017, caused by continuing

Chart: Regional Headline Inflation



Source: Bangladesh Bureau of Statistics and Reserve Bank of India

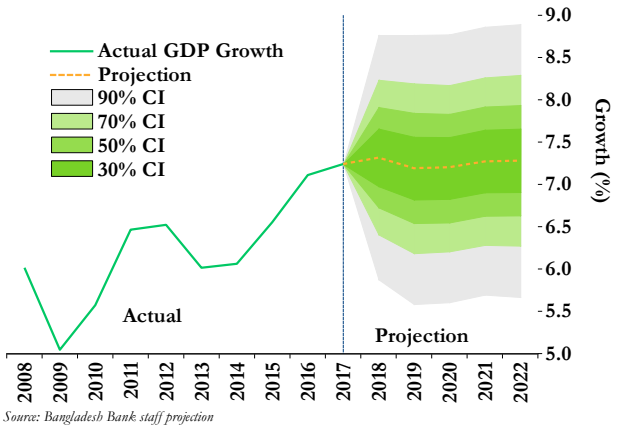
supply glut and/or demand slack, keeping global inflation at muted levels. Pull back of global liquidity glut initiated by the onset of monetary tightening in the US and the EU is likely to further prolong low global inflation, helping moderation in domestic inflationary pressures in Bangladesh.

Domestic Growth and Inflation Outlook

According to Bangladesh Bureau of Statistics (BBS) estimates, the economy grew by 7.24 percent in FY17, up from 7.11 percent in FY16. A weaker performance in export demand-driven manufacturing growth was more than offset by a buoyant domestic demand-led manufacturing growth, alongside growth gains in the agriculture and services sectors. Strong private sector credit growth, at 16.0 percent in May 2017, supported private investment and consumption, while a sharp slowdown in remittance weakened the tailwind Bangladesh has enjoyed in recent years. The sharp slowdown in economic activity in the Middle East from lower oil prices in recent years adversely affected remittance inflows, with large 14.5 percent inflows decline in FY17.

Total domestic investment increased in FY17 by 0.6 percentage points of GDP to 30.3 percent, contributed by the government's investment

Chart: Projection of GDP Growth for FY2018 - FY2022

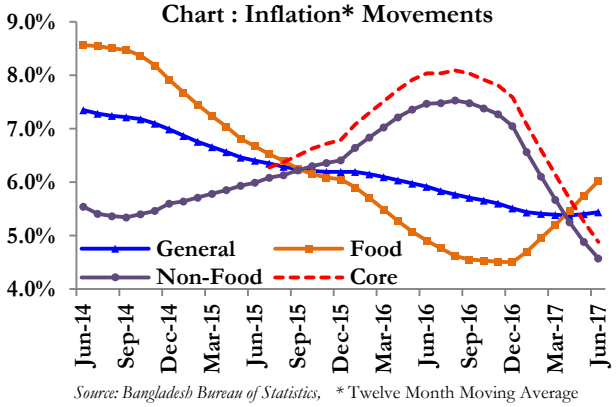


Source: Bangladesh Bank staff projection

program. Based on the sectoral developments and econometric estimates, BB staff projects FY18 real GDP growth in the range of 7.1-7.4 percent. The forecast assumes continued political calmness.

Average CPI inflation gradually declined during FY17 and was at 5.44 percent in June 2017, below the programmed FY17 ceiling of 5.8 percent. The 12-month average headline CPI inflation masks month by month movements of food and non-food components of point-to-point CPI inflation. Of these, the larger food component of

Chart : Inflation* Movements

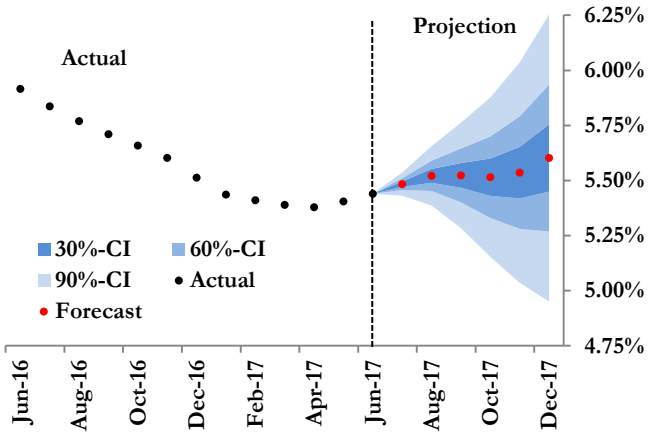


Source: Bangladesh Bureau of Statistics, * Twelve Month Moving Average

point-to-point CPI inflation is on uptrend since January 2017, the smaller non-food component on declining trend till February 2017 has also edged up slowly thereafter. The sharper rise in food price component of CPI was caused largely by the flash flood-related crop losses in the Northeastern haor regions in H2 FY17.

According to the Bangladesh Bank's latest inflation expectation survey, one-year-ahead inflation expectation for June 2018 is above 6 percent. Based on the econometric estimate,

Chart: Projection of Inflation* for H1 FY18



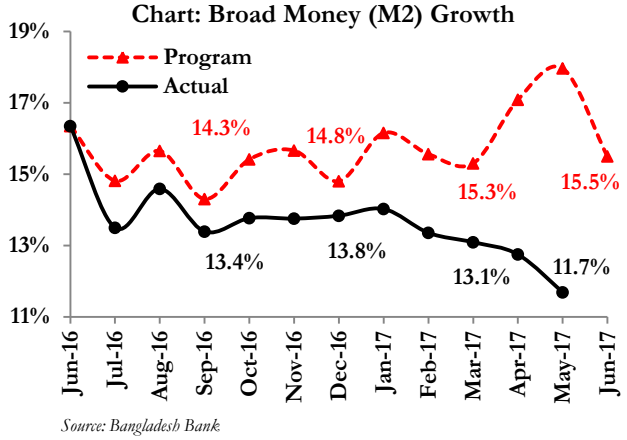
Source:Bangladesh bank staff projection * Twelve Month Moving Average

Bangladesh Bank's projection shows average annual inflation for H1 FY18 to be around 5.5-5.9 percent. Looking ahead, given the domestic inflation dynamics, food price developments and tapering base effects, some price pressures may emerge during FY18 and will need to be monitored and contained carefully. Subdued global inflation and favorable regional inflation (Indian inflation now at a record low of 1.54 percent in June 2017, with food inflation at -1.17 percent) may somewhat ease the emerging domestic inflationary pressures.

Money Supply and Credit Growth

Monetary aggregates remained broadly in line with their programmed paths in the Monetary Policy Statements for FY17. Reserve money (RM), broad money (M2), and domestic credit, all three important anchors of the current monetary program aiming at containment of CPI inflation, grew by 13.3, 11.7, and 11.3 percent in May 2017, respectively, and were all well below the program ceilings, which helped achieve the favorable inflation performance in FY17. Credit to the

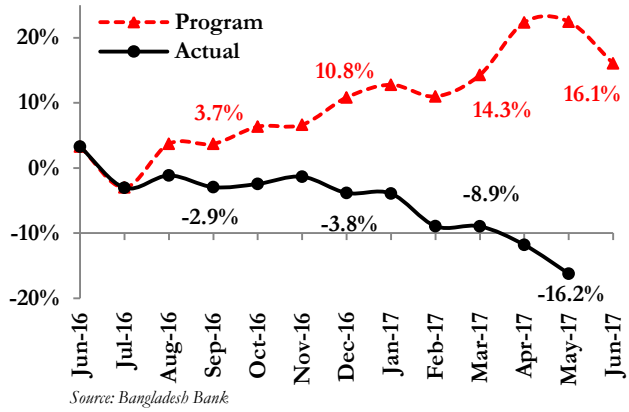
Chart: Broad Money (M2) Growth



Source: Bangladesh Bank

public sector, however, declined by 16.2 percent in May 2017, as the government paid off maturing T-bills/T-bonds with proceeds of larger-than-planned sales of NSCs.

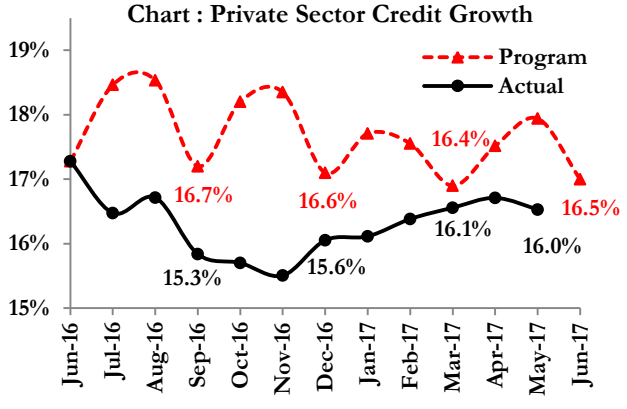
Chart : Public Sector Credit Growth



Source: Bangladesh Bank

Private sector credit grew by 16.0 percent in May 2017, remaining within the targeted end-June 2017 ceiling of 16.5 percent. A pickup in credit

Chart : Private Sector Credit Growth

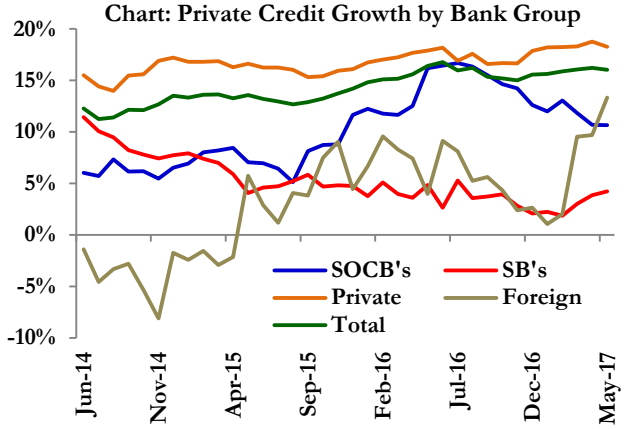


Source: Bangladesh Bank

growth has supported domestic investment and consumption demand. Private sector businesses also accessed short- and longer-term foreign borrowings, widening their financing envelope.

In terms of the sectoral composition of credit, the share of industrial term loans (term loan and working capital finance) has steadily increased in the twelve months through March 2017 from 37.3 percent to 38.5 percent. In terms of usages, industry, consumer financing and construction have witnessed robust growth at 19.3, 15.5, and 12.6 percent, respectively, in March 2017. In

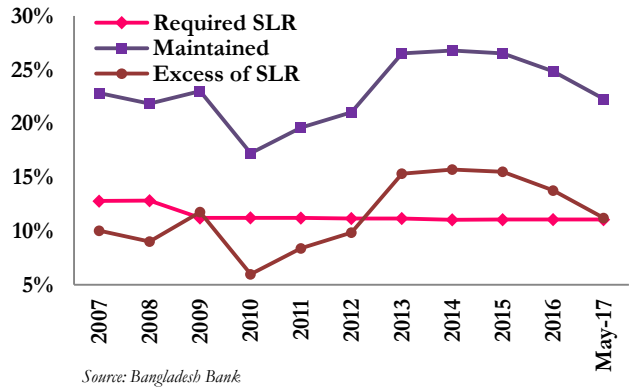
Chart: Private Credit Growth by Bank Group



Source: Bangladesh Bank

terms of the bank groups, intermediation by private sector banks led the pickup in credit growth at around 18.3 percent in May 2017, followed by the state-owned banks (10.7 percent), broadly in line with their credit growth ceilings.

Chart: Liquidity as a % of TDTL

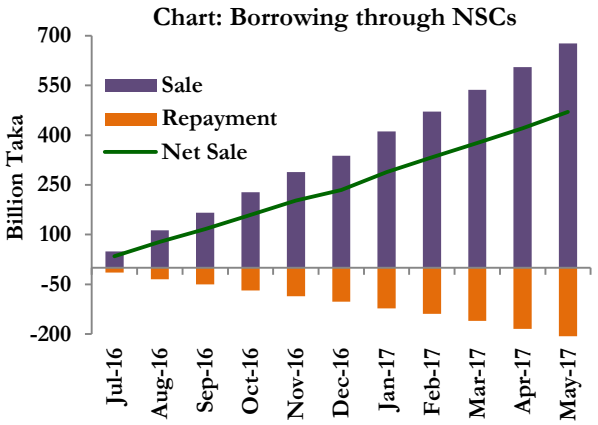


Source: Bangladesh Bank

The recent pickup in credit growth has exceeded deposit growth and moderated the ratio of excess of SLR assets to Total Demand and Time Liabilities (TDTL), often commonly referred to as "excess liquidity". At around 11.2 percent in May

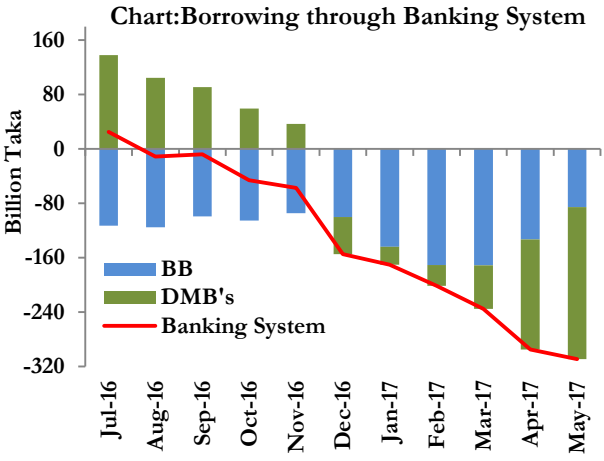
2017, the relative size of "excess of SLR" assets are now back at their 2012 levels.

During FY17, the government's non-bank deficit financing through NSCs in FY17 exceeded budgetary stipulations. High non-market yields



Source: National Saving Directorate

on these instruments available on tap attracted strong public demand, resulting in government's lower cost bank borrowing being paid off with high-cost NSCs borrowings. Government's non-bank borrowing has lower inflationary impact than bank borrowing, and leaves greater room for private sector's bank borrowing, but besides



Source: Bangladesh Bank

increasing the fiscal cost of financing, also disrupts bond market development, much needed for mobilizing long-term savings for infrastructure and other long-term investments. Tethering returns on NSCs has therefore assumed urgent priority.

The table below summarizes the key monetary and credit programs, outcome, and projections for FY17 and FY18.

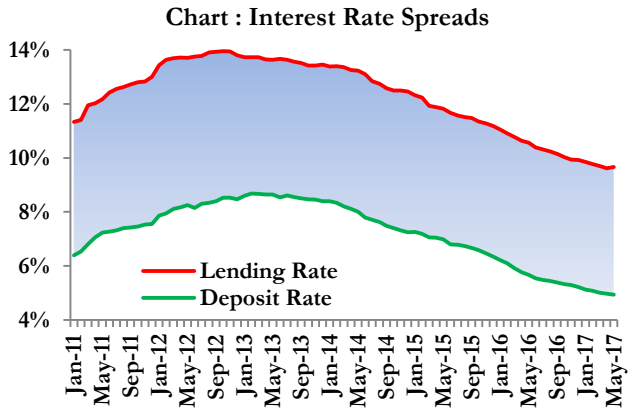
Table: Monetary Aggregates (Y-o-Y growth in%)

Item	Actual		Prog	
	Jun-16	May-17	Dec-17	Jun-18
Net Foreign Assets	22.9	12.5	4.7	5.5
Net Domestic Assets	14.2	11.4	15.9	16.7
Domestic Credit	14.4	11.3	14.4	15.8
Credit to the public sector	3.3	-16.2	3.8	12.1
Credit to the private sector	16.8	16.0	16.2	16.3
Broad money	**16.3**	**11.7**	**12.9**	**13.9**
Reserve money	**30.1**	**13.3**	**12.8**	**12.0**

Source: Bangladesh Bank

Policy Interest Rates

The intermediation spreads between weighted average rates on bank deposits and loans remain little changed despite substantial decline of the lending and deposit rates from FY14. In FY17, the intermediation spread has narrowed by mere 12 basis points. Downward stickiness of the

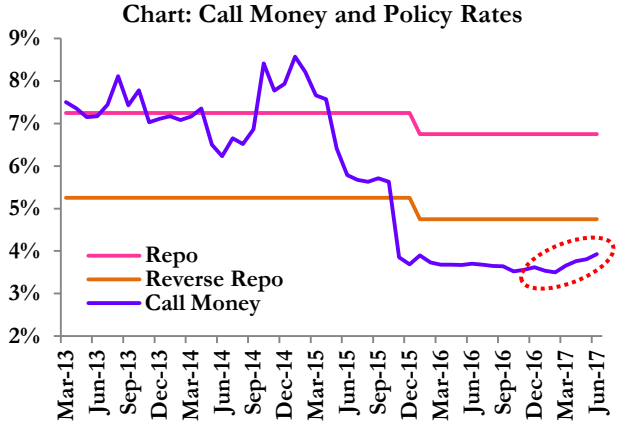


Source: Bangladesh Bank

intermediation spread reflects provisioning costs on high non-performing loan levels in banks with weak lending discipline, and aversion to competitive rate setting by more efficient banks with low non-performing loan levels. BB's supervisory oversight is strongly dissuading further squeezing of interest rates on bank deposits, and incipient signs of slow upward creep are emerging lately. BB will continue efforts of stimulating competitive pricing of bank loans and deposits in FY18 and thereafter.

Call money rates in the recent months have been on an upward trend, as credit growth has exceeded deposit growth. With pickup in public sector borrowing from the banking sector, call money rates are expected to gradually edge up and range within the interest rates corridor set by repo and reverse repo rates.

Chart: Call Money and Policy Rates



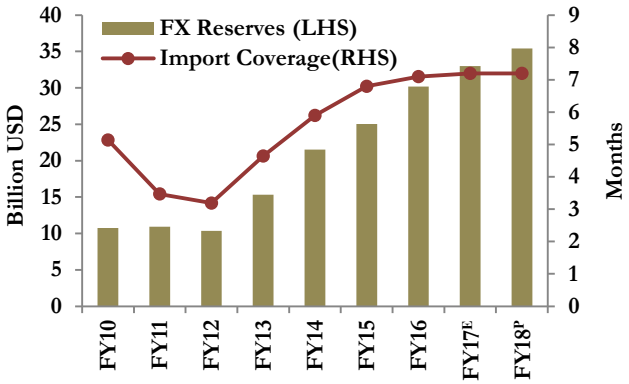
Source: Bangladesh Bank

Balancing the growth and inflation risks in Bangladesh, against the backdrop of a subdued global inflation outlook and tightening monetary policy conditions in the advanced economies, Bangladesh Bank has decided to keep policy rates unchanged at its current level, with repo rate at 6.75 percent and reverse repo rate at 4.75 percent. However, Bangladesh Bank is cognizant of the evolving inflationary dynamics in Bangladesh, policy rates will be reviewed on a continuous basis and can be changed promptly if needed.

External Sector Developments and Outlook

FY17 export growth slowdown to 1.7 percent, remittance inflows decline of 14.5 percent, and import growth of 9.0 percent widened trade deficit and turned current account balance to deficit. Overall BoP balance continues in surplus nevertheless, from continuing growth in capital account inflows. Foreign exchange reserve growth continued in rising trend in FY17, with reserve balance adequate to cover 7 months of goods and services import requirement. BoP projections for

Chart: Forex Reserve and Import Coverage



Source: Bangladesh Bank, E= Estimated, P=Projected

FY18 indicate some further widening of BoP current account deficit, and lower but still positive overall balance.

Table: Balance of Payments Highlights

In million US$

Major Items	Actual	Estimate	Outlook
	2015-16	2016-17	2017-18
Trade balance	-6,274	-9,280	-11,012
Services	-2,793	-3,512	-3,537
Primary income	-1,906	-1,964	-2,040
Secondary income	15,355	13,205	13,866
of which: Workers' remittances	14,717	12,586	13,215
CURRENT ACCOUNT BALANCE	4382	-1551	-2723
Capital account	478	340	550
Financial account	894	4490	4427
Errors and omissions	-718	-198	0
OVERALL BALANCE	5036	3081	2254

Source: Bangladesh Bank, EPB and the Ministry of Finance.

Policy steps are underway towards overcoming the recent pressures on the economy's external sector strength. Besides the market-based exchange rate of Taka depreciating in response to weakening of exports and workers' remittance inflows, Bangladesh government is proactively engaging in bilateral and multilateral trade negotiations towards widening market access and diversifying the export basket.

Workers' remittance inflows are suffering downturn not just because of weakened demand for migrant workers in major migrant labor hosting countries, but also because it is getting harder, even impossible in some instances, for migrant workers to access legitimate channels for sending money home, with high-cost burdens of compliance with unduly stringent AML/CFT

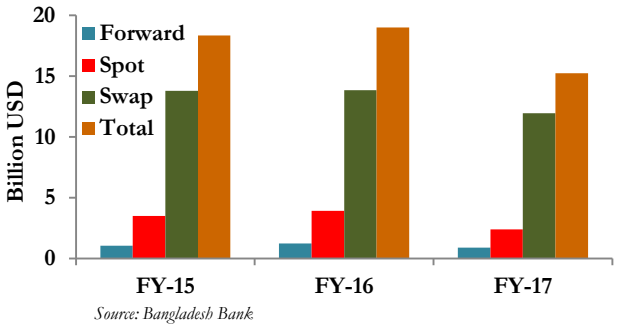
regulations dissuading international banks from relationships with remittance handlers. Counterproductively, this is pushing migrant workers' remittances increasingly into informal hundi/hawala channels open to abuse by money launderers and other agents. Urged repeatedly in global dialogues, inter alia by BB and other Bangladesh authorities, global AML/CFT standard setters are now reportedly looking into this. Meanwhile, Bangladesh government and BB are pursuing further facilitation and widening of legitimate remittance channels for our migrant workers abroad. Further avenues bearing promise of significant near-term gains in remittance inflows include promoting sales of Bangladesh Government's Wage Earners Bonds and Taka Treasury Bonds (BGTBs), both offering much better yields than the migrant workers can get on their savings in the host countries. Apartment purchase loan facilities in Bangladesh can also be marketed more actively to attract foreign savings of our migrant workers. BB intends to get banks more proactively engaged in these areas.

A dedicated unit in the National Board of Revenue (NBR) is active in detecting and curbing abuse of trade mis-invoicing for illicit capital flight; the Financial Intelligence Unit (FIU) at BB stands ready to help the unit in acquisition/exchange of relevant information from foreign jurisdictions.

Exchange Rate

As already mentioned, the market-based exchange rate of Taka has responded to the turnaround of BoP current account balance from surplus to deficit in FY17, depreciating by around three percent against US Dollar, the intervention currency. The recent past spell in BoP current account surplus kept Taka under substantial appreciation pressure that BB had to moderate with purchase of FX surpluses from the interbank market. The appreciation pressure on Taka also affected export competitiveness to some extent, particularly in non-US Dollar markets like EU with weaker currencies. The recent BoP current account deficit-driven depreciation of Taka has helped improve export competitiveness, more significantly in non-USD markets now that USD itself has weakened significantly. The local FX market is running smoothly at current exchange

Chart: Interbank Forex Transaction



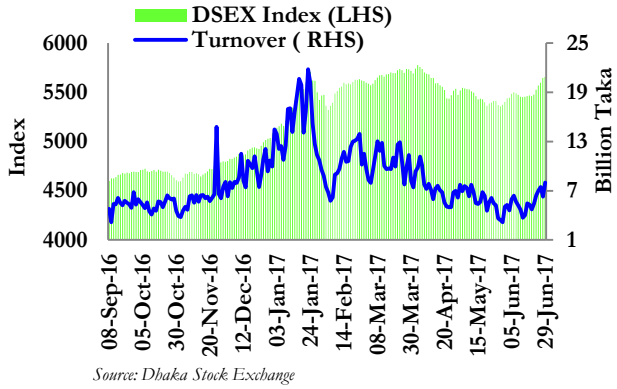
Source: Bangladesh Bank

rate of Taka, needing no BB intervention on the sale or purchase side. Exchange rate of Taka looks likely to remain broadly stable in FY18, barring any major unforeseen shock.

Capital Market

Stock market prices, measured by the DSE broad index (DSEX), rose by over 20 percent since June 2017. The buoyant trend in stock prices since Q2 FY17 and the more-than-threefold increase of FPI inflows in FY17 appear to indicate that the buoyancy came about mainly from increased foreign investor interest in our stock markets,

Chart: DSEX Index and Turnover



Source: Dhaka Stock Exchange

following Bangladesh's inclusion in the frontier economy segment of the Morgan Stanley Capital International (MSCI) index. While the BSEC is the regulatory authority overseeing stability of the capital markets, BB closely monitors the operations of capital market subsidiaries of banks,

seeing to it that these operate within the statutory limits on capital market exposures for their parent banks. While there is no indication yet of banks breaching regulatory limits to jack up stock prices, BB surveillance on capital market exposures of banks routinely intensify at boom times as a measure of due caution.

Promotion Initiatives for Inclusive Financing of Employment-focused, Entrepreneurial Activities

In line with the government's inclusive, environmentally sustainable growth goals, BB has been taking up countrywide schemes promoting financing of MSME initiatives in the agriculture, manufacturing, and services sectors to stimulate creation of new output, employment, and income. Over the past decade, the number of self-employment and wage-paying employment created in businesses spawned with BB refinance-supported MSME loans would presumably run into millions. BB refinance support is available also for lenders to 'green' projects of adopting environmentally benign output practices. Some recent BB steps for better targeting of support lines towards intended beneficiaries and some new initiatives being mulled over are mentioned below:

i) *Support for MSME financing*: MSMEs have been re-categorized for policy support purposes to eliminate room for abuse of available benefits (refinance, lower provisioning) against loans to larger businesses. Also, banks have been given indicative targets for a gradual increase in the share of MSME lending in their loan portfolios to 25 percent of total lending by 2021, alongside change in the sectoral mix of MSME loans with the highest 40 percent in loans for employment-focused manufacturing, 25 percent for services, and the remaining 35 percent for trading by 2021.

ii) *Interest rates on agricultural loans:* Despite recent substantial general decline in interest rates on bank loans and deposits, interest rates on agricultural loans have tended to remain static. BB has acted to address this rigidity, nudging the peak rate down by 100 basis point to 9 percent from the previous 10 percent.

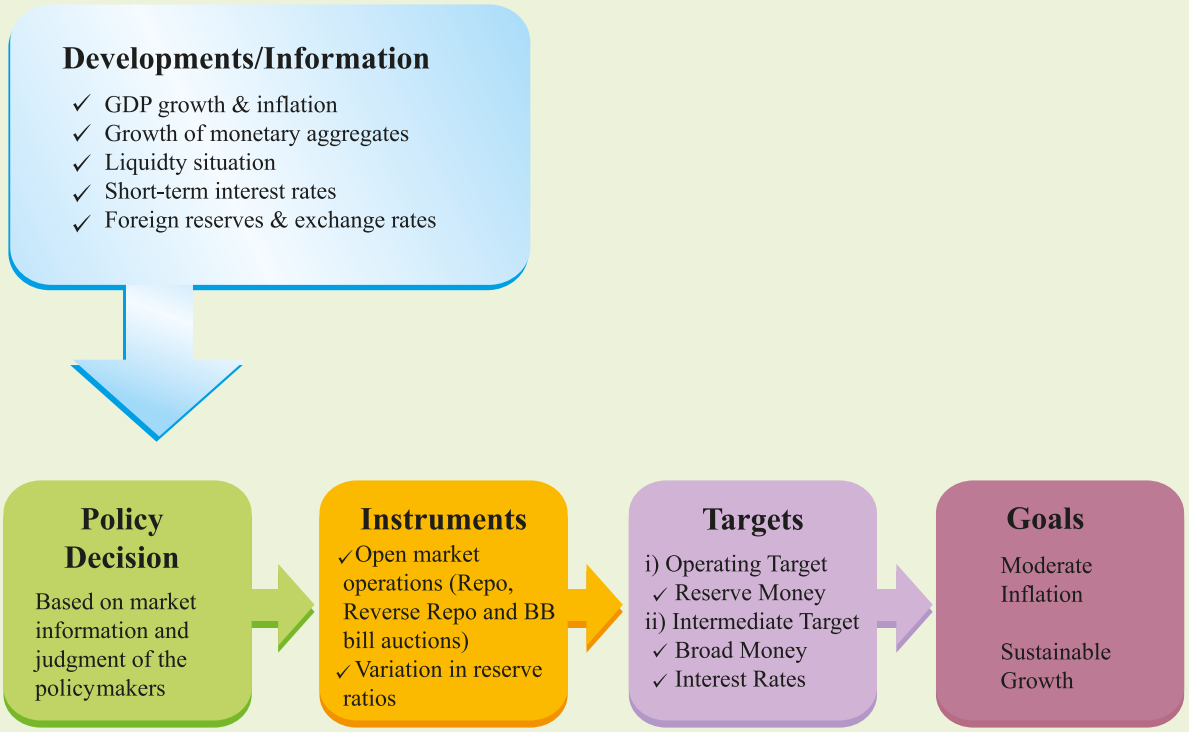
iii) While ongoing businesses can access debt and equity markets for business expansion with relative ease, young entrepreneurs with award-winning bright new ideas and business plans find it virtually impossible to acquire startup financing from either debt or equity markets in Bangladesh. Fostering of startup financing requires an ecosystem comprising venture capital providers and 'angel investors' who typically are high net worth individuals staking part of their wealth in equity of startups promising high returns. Angel investor clusters reportedly have already coalesced in India, and BB will be happy to work with capital market regulator and other stakeholders in fostering a startup financing ecosystem for entrepreneurs in Bangladesh.

iv) Drafting of Guidance Notes on Socially Responsible Financing mentioned in the H2 FY17 MPS is already underway.

Monetary Policy Implementation Risks

The downside risks to the growth and inflation projections that form the basis of monetary program are hard to fully capture in the econometric models. The risks to the growth outlook from the modest global growth and weaker remittance flows and the inflation risks from any rise in food price and its spillover into non-food inflation need to be closely monitored. BB will update its forecasts on a regular basis during the course of the year and adjust monetary program accordingly to accommodate any significant change in the baseline scenario. As mentioned earlier, elevated NPLs constrain the transmission of any changes in the short-term rates to the lending rates faced by the borrower. Furthermore, continued strengthening of supervision and corporate governance that can lead to lower credit and concentration risks and subsequently lower NPLs would improve the impact of any monetary policy actions.

Monetary Policy Framework



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